AERTERNUM LEGAL PARTNERSHIP

member of BASHO PROJECTS

LAW INSIGHTS
MINISTER OF MANPOWER REGULATION NO. 7 OF 2026 ON OUTSOURCED WORK

On 30 April 2026, the Minister of Manpower issued Regulation No. 7 of 2026 on Outsourced Work (hereinafter referred to as "**the Regulation**"), which took effect on the same date. The Regulation establishes a consolidated framework for outsourcing in Indonesia, setting out the categories of work that may be outsourced, the minimum contents of an outsourcing agreement, the protection of outsourced workers, and the compliance obligations of both the outsourcing company and the company that engages it. This update outlines its principal provisions and their practical implications for businesses.

1. Legal Basis

The Regulation must be read together with the following instruments:

Regulation	Key Provisions
Minister of Manpower Regulation No. 7 of 2026 on Outsourced Work (hereinafter referred to as "**Permenaker 7/2026**")	The principal instrument governing outsourcing. It defines the permitted scope of outsourced work, the mandatory contents of an outsourcing agreement, the protection of outsourced workers, the registration requirement, the obligations of the parties, administrative sanctions, and transitional provisions. It entered into force on 30 April 2026.
Law No. 6 of 2023 on Job Creation	The statutory basis that the Regulation implements. Article 64 paragraph (2) permits a company to delegate part of the performance of its work to another enterprise under a written outsourcing agreement.
Constitutional Court Decision No. 168/PUU-XXI/2023 on the Judicial Review of Law No. 6 of 2023 on Job Creation	Directs the Government to limit the types and fields of work that may be outsourced and to secure the rights of outsourced workers. The Regulation is issued to give effect to this decision.
Government Regulation No. 35 of 2021 on Fixed-Term Employment, Outsourcing, Working Time and Rest, and Termination of Employment	The general implementing regulation on fixed-term employment, outsourcing, working time and rest, and termination of employment, which the Regulation supplements in respect of outsourcing.

2. Definitions

The Regulation distinguishes two parties:

a) Outsourcing Company (*Perusahaan Alih Daya*), a business entity, in the form of a legal entity, that is qualified to perform specific work under an agreement concluded with the Principal Company. A provider that is not an incorporated legal entity may not act as an outsourcing company.

b) Principal Company (*Perusahaan Pemberi Pekerjaan*), a company that delegates part of the performance of its operations to an Outsourcing Company.

3. Permissible Scope of Outsourcing

A Principal Company may delegate only part of its work, and only under a written outsourcing agreement. The Regulation confines outsourcing to supporting activities in the following fields:

a) cleaning services;

b) provision of food and beverages;

c) security services;

d) provision of drivers and transportation for workers;

e) operational support services; and

f) supporting work in the mining, oil and gas, and electricity sectors.

The Regulation does not define the scope of "operational support services" referred to in point e). Until further guidance is issued, this category should be construed narrowly and confined to genuinely ancillary support, rather than relied upon to outsource core or production activities.

Consistent with the Constitutional Court decision that it implements, the Regulation is directed at supporting work only; a company's core or production activities may not be outsourced.

4. The Outsourcing Agreement and Its Registration

Outsourcing must be effected through a written outsourcing agreement. At a minimum, the agreement must set out:

a) the scope of the work delegated to the Outsourcing Company;

b) the term of the agreement;

c) the place where the work is to be performed;

d) the number of outsourced workers;

e) the protection and entitlements of the outsourced workers, comprising at least wages, overtime pay, working hours, rest periods, annual leave, occupational safety and health, social security, the religious holiday allowance, and rights upon termination or the ending of the employment relationship; and

f) the respective rights and obligations of the Outsourcing Company and the Principal Company.

Primary responsibility for delivering these entitlements rests with the Outsourcing Company. The Principal Company, however, remains under a duty to ensure that its provider complies with the applicable manpower-law standards.

Within 3 (three) working days of signing, the Outsourcing Company must register the agreement with the local manpower office (*kabupaten/kota*), enclosing a copy of the agreement. Once the requirements are met, the office issues proof of registration.

As the agreement is submitted to an Indonesian government office, it should be drawn up in Bahasa Indonesia or in bilingual form (Bahasa Indonesia and a foreign language), if an agreement in a foreign language alone may be challenged by the authorities.

5. Obligations of the Outsourcing Company

As the holder of a business licence in the outsourcing sector, the Outsourcing Company must:

a) apply occupational safety, occupational health, and environmental-protection standards;

b) register each outsourcing agreement with the local manpower office; and

c) commence its business activities no later than one year after its business licence is issued.

A breach of these obligations may attract administrative sanctions under the prevailing rules on risk-based business licensing. Correspondingly, the Principal Company must satisfy itself that its Outsourcing Company observes these manpower-law standards.

6. Administrative Sanctions

A Principal Company that contravenes the provisions on the permitted types and fields of outsourced work is liable to administrative sanctions, imposed in stages. These begin with a written warning and may extend to restrictions on business activity.

Such restrictions may include limitations on the capacity to produce goods and/or services for a specified period, and/or the suspension of business licensing at one or more locations for companies operating projects across multiple sites. They are imposed by the authority responsible for issuing the relevant licence, acting on the recommendation of the Manpower Inspector.

An Outsourcing Company that fails to meet its obligations is likewise subject to administrative sanctions under the prevailing rules on risk-based business licensing.

7. Transitional Provisions

Outsourcing agreements concluded before the Regulation took effect remain valid until the expiry of their respective terms.

Where, however, the type or scope of the outsourced work does not conform to the Regulation, the Principal Company is allowed a transitional period within which to make the necessary adjustments, no later than 2 (two) years from the date the Regulation entered into force, that is, by 30 April 2028.

Companies engaging outsourced labour should therefore review their existing arrangements against the permitted categories, align their agreements with the mandatory requirements set out above, and plan any necessary adjustments well before the transitional deadline.